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Business Models and Strategy
Level: Intermediate to Advanced • Rev. 2026

Competitive Advantage and Economic Moats: Defending Market Share

Summary: How exceptional companies protect high profit margins from competitive imitation. Analyze network effects, switching costs, scale, and intangible assets.

Learning Objectives

- Define economic moats and sustainable competitive advantage.
- Classify the four primary types of economic moats (Network Effects, Switching Costs, Cost Advantages, Intangible Assets).
- Evaluate Porter's Five Forces in African emerging markets.
- Formulate defensible strategy against commoditization.

Core Principles & Key Takeaways

- Without an economic moat, competitors will eventually compete away above-average margins.
- Network effects create 'winner-takes-most' market dynamics.
- High customer switching costs yield pricing power and predictable recurring cash flows.

1. What is an Economic Moat?

Coined by Warren Buffett, an **economic moat** is a structural advantage that protects a company's high Return on Invested Capital (ROIC) from competitive erosion. In standard microeconomic theory, supernormal profits attract competitors who introduce substitute products, drive down prices, and reduce margins to the cost of capital. A moat prevents this regression.

2. The Four Pillars of Structural Moats

1. **Network Effects:** The product becomes exponentially more valuable to existing users as new users join.
* *Example:* WhatsApp in Nigeria or Moniepoint's POS agent distribution network.
2. **High Switching Costs:** The monetary, technical, operational, or psychological cost of leaving for a competitor exceeds the benefit.
* *Example:* Enterprise ERP software (SAP, Oracle) or banking payment rails embedded in an e-commerce checkout.
3. **Cost Advantages (Scale & Process):** Ability to produce at lower unit cost through massive volume or proprietary logistics.
* *Example:* Dangote Cement's vertical integration with limestone quarries and dedicated logistics fleet.
4. **Intangible Assets:** Brands that command price premiums, patents, government regulatory licenses, or zoning permits.
* *Example:* Commercial banking licenses issued by the Central Bank of Nigeria (CBN).

Self-Assessment & Review Questions

Q1: Which of the following represents a switching cost moat?

A. A brand offering a temporary 20% discount
B. A business running TV commercials
C. An ERP software where migrating customer historical data and retraining 500 staff takes 9 months
D. A product that is cheaper than all competitors

Correct Answer: C • High migration friction, data integration, and employee retraining costs create structural switching barriers that prevent client defection.

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